



COLLEGE ACCOUNTING

(105)

NATIONAL 2023

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (96 points)

Problem 1: Bonds _____ (44 points)

Problem 2: Equity Transaction _____ (56 points)

Problem 3: Stockholders' Equity _____ (54 points)

Problem 4: Statement of Cash Flows _____ (30 points)

TOTAL POINTS _____ ***(310 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

Identify the letter of the choice that *best* completes the statement or answers the question.

1. D
2. D
3. C
4. A
5. B
6. A
7. D
8. C
9. D
10. C
11. C
12. D
13. A
14. A
15. A

Short Answer (Each answer is worth 3 points; journal entries are worth 3 points for each account name & 3 points for each amount)

1. Diaz Manufacturing began the year owing its suppliers \$4,800 for merchandise purchased last year. Diaz then sold half of this merchandise for \$8,000 on account. Two weeks later, Diaz paid its suppliers \$1,600 and bought another \$6,400 of merchandise on account. **(3 points)**

What is the balance in Accounts Payable?	\$9,600
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2. Santiago Co. signs a one-year, \$15,000, 6% note April 1, 2023, and repays the note on September 1, 2023. **(3 points)**

How much interest expense is recorded in 2023?	\$375
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3. On October 1, 2022, Boyle Corp. borrowed \$306,000 from the Brooklyn Bank on a 6-month, 6% note. **(3 points)**

Assuming no interest has been recorded yet, what is the amount of accrued interest as of December 31, 2022?	\$4,590
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4. On October 1, 2021, Linetti Company borrows \$360,000 on a three-year note that requires the company to pay 6% interest on March 31 and September 30. **(3 points)**

On December 31, 2022, the adjusting entry to accrue interest would be for what amount?	\$5,400
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5. On July 2, 2022, Holt Publishing, Inc. received a one-year subscription for \$100 to one of the magazines that it publishes. At that time, it debited cash for \$100 and credited Deferred Revenue for \$100. After all the magazines have been delivered through December 31, 2022, what journal entry needs to be recorded? **(12 points)**

Deferred Revenue	100	
Revenue		100

6. Hitchcock Co. is purchasing a new forklift to be used in its warehousing operations. Hitchcock borrowed \$120,000 from its bank in return for an installment note with 8% interest. Hitchcock will make 6 equal annual payments of \$25,958. **(6 points)**

What is interest expense for the first period?	\$9,600
What is interest expense for the second period?	\$8,291.36

7. Scully, Inc. issues \$250,000 of 10-year, 10% bonds on January 1, 2023. Determine the amounts (bonds payable, unamortized premium or discount, and bonds payable, net) that will be reported on a balance sheet prepared as of the date of issuance of January 1, 2023, under each of the following assumptions: **(27 points)**

	Bonds Payable	Discount/Premium	Bonds Payable, Net
The bonds are sold at 100	\$250,000	\$0	\$250,000
The bonds are sold at 104	250,000	10,000	260,000
The bonds are sold at 98	250,000	5,000	245,000

8. A corporate charter specifies that the company may sell up to 20 million shares of stock. The company sells 12 million shares to investors and later buys back 3 million shares. **(9 points)**

What is the number of authorized shares after these transactions are accounted for?	20 million
What is the number of shares issued after these transactions are accounted for?	12 million
What is the number of shares outstanding after these transactions are accounted for?	9 million

9. Identify whether each of the following list of items is an operating activity cash flow (O), an investing activity cash flow (I), a financing activity cash flow (F), or none of these (None). **(30 points)**

	Cash Flow Section
Proceeds from sale of equipment	I
Cash collected from customers	O
Payments to suppliers	O
Stock repurchases	F
Repayment of bond principal	F
Payment of income tax	O
Purchases of bonds from other companies	I
Purchases of equipment financed with a note	None
Interest and cash dividends received	O
Payment of cash dividends	F

Problem 1 (44 Points – 2 points for each account name & 2 points for each amount; account names may vary slightly)

On January 1, 2023, Samberg Sales issues \$100,000 in bonds at 102. The bonds are five-year bonds with a stated rate of 4% and pay semiannual interest on June 30 and December 31. Samberg Sales uses the straight-line method to amortize bond discount. Prepare the following journal entries:

- Issuance of the bond on January 1, 2023
- First interest payment on June 30, 2023.
- Second interest payment on December 31, 2023
- Retirement of the bond on January 1, 2028

Date	General Journal	Debit	Credit
Jan. 1	Cash	102,000	
	Premium on Bonds Payable		2,000
	Bonds Payable		100,000
Jun. 30	Interest Expense	1,800	
	Premium on Bonds Payable	200	
	Cash		2,000
Dec. 31	Interest Expense	1,800	
	Premium on Bonds Payable	200	
	Cash		2,000
Jan. 1	Bonds Payable	100,000	
	Cash		100,000

Problem 2 (56 Points - 2 points for each account name & 2 points for each amount; account names may vary slightly. Deduct 5 points if an entry is made for August 18.)

On January 1, 2022, Crews Corporation balance sheet showed 40,000 shares of \$4 par value common stock outstanding that was previously issued at \$18 per share, and Retained Earnings with a balance of \$263,000. On January 15 Crews issued 5,000 shares of 5%, \$100 par value preferred stock for \$120 per share. On March 20, the company purchased 4,000 of its stock for \$16 per share. On July 8, the company reissued 2,000 of the shares at \$20 per share (Crews uses the cost method to account for its treasury stock). On August 3 Crews' Board of Directors declared a dividend of \$53,500 to be paid on September 3 to shareholders of record on August 18. Prepare the appropriate journal entries.

Date	General Journal	Debit	Credit
Jan. 15	Cash	600,000	
	Paid in Capital in Excess of Par – Preferred Stock		100,000
	Preferred Stock		500,000
Mar. 20	Treasury Stock	64,000	
	Cash		64,000
Jul. 8	Cash	40,000	
	Treasury Stock		32,000
	Paid in Capital – Treasury Stock		8,000
Aug. 3	Cash Dividends	53,500	
	Dividends Payable – Common		28,500
	Dividends Payable – Preferred		25,000
Sept. 3	Dividends Payable - Common	28,500	
	Dividends Payable - Preferred	25,000	
	Cash		53,500

Problem 3 (54 Points – 3 points each account name & amount; account names may vary slightly)

Using the information from Problem 2, prepare the Stockholders' Equity section the balance sheet on December 31, 2022. Assume Net Income for the year was \$153,500

Preferred Stock	500,000
Paid-in Capital in Excess of Par – Preferred	100,000
Common Stock	160,000
Paid-in Capital in Excess of Par – Common	<u>560,000</u>
Total Paid-in Capital	1,320,000
Retained Earnings	363,000
Treasury Stock	(32,000)
Paid-in Capital – Treasury Stock	<u>8,000</u>
Total Stockholders' Equity	<u>\$1,659,000</u>

Problem 4 (30 Points)

The management team of D. Judy Inc. is preparing its annual financial statements. The statements are complete except for the statement of cash flows. The completed comparative balance sheets and income statements are summarized.

	Current Year	Prior Year
Balance Sheet		
Assets		
Cash	\$50,000	\$72,000
Accounts Receivable	80,000	70,000
Merchandise Inventory	60,000	65,000
Property and Equipment	110,000	60,000
Less: Accumulated Depreciation	<u>(30,000)</u>	<u>(15,000)</u>
Total Assets	<u>\$270,000</u>	<u>\$252,000</u>
Liabilities:		
Accounts Payable	\$10,000	\$12,000
Salaries and Wages Payable	2,000	1,000
Notes Payable, Long-Term	50,000	60,000
Stockholders' Equity:		
Common Stock	100,000	80,000
Retained Earnings	<u>108,000</u>	<u>99,000</u>
Total Liabilities and Stockholders' Equity	<u>\$270,000</u>	<u>\$252,000</u>
Income Statement		
Sales	\$200,000	
Cost of Goods Sold	110,000	
Depreciation Expense	15,000	
Other Expenses	<u>50,000</u>	
Net Income	<u>\$25,000</u>	

Other information from the company's records includes the following:

- Bought equipment for cash, \$50,000.
- Issued new shares of common stock for \$20,000 cash.
- Accounts Payable arose from inventory purchases on credit.

What is the net cash flows from Operating Activities for the current year?	\$34,000
What is the net cash flows from Investing Activities for the current year?	(50,000)
What is the net cash flows from Financing Activities for the current year?	(6,000)